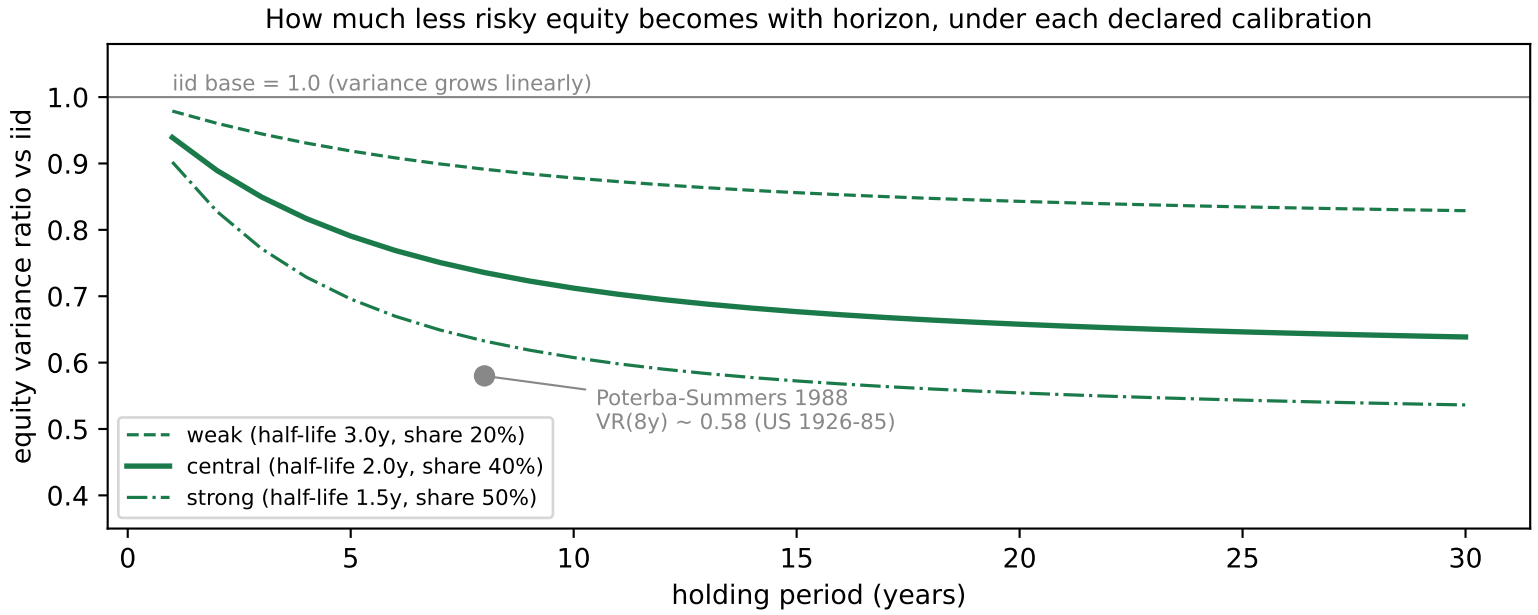
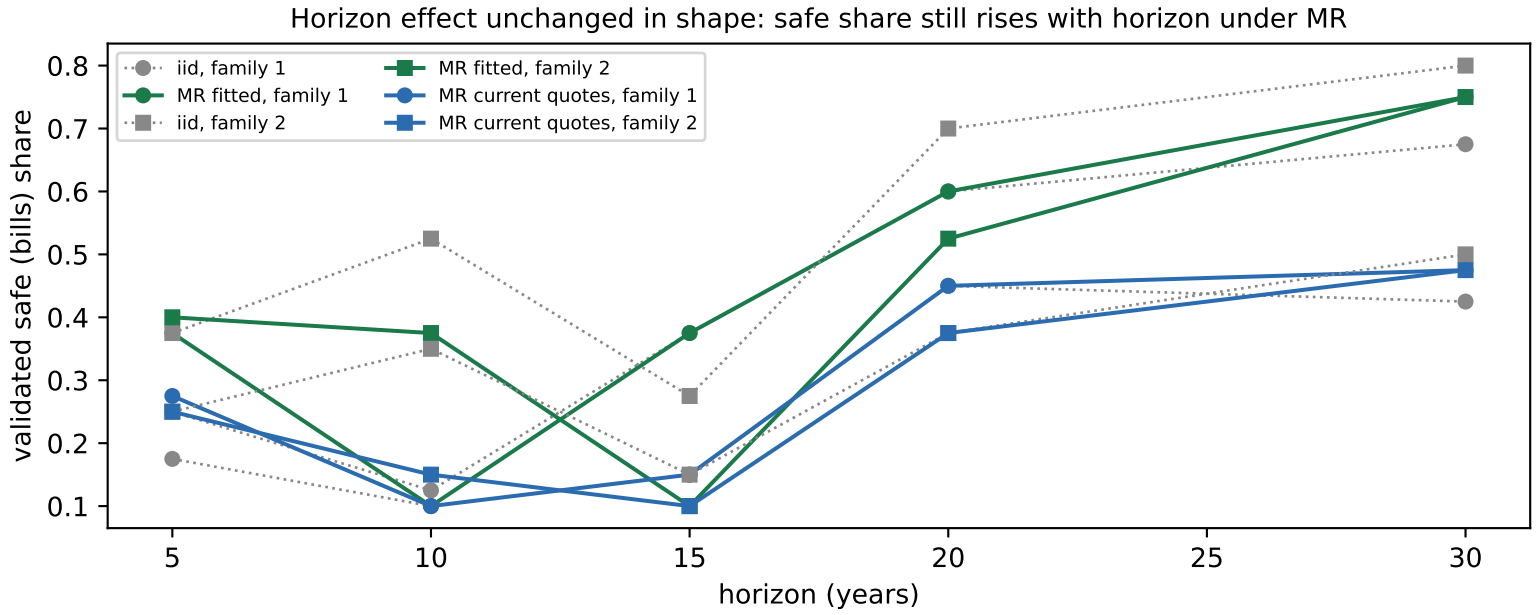
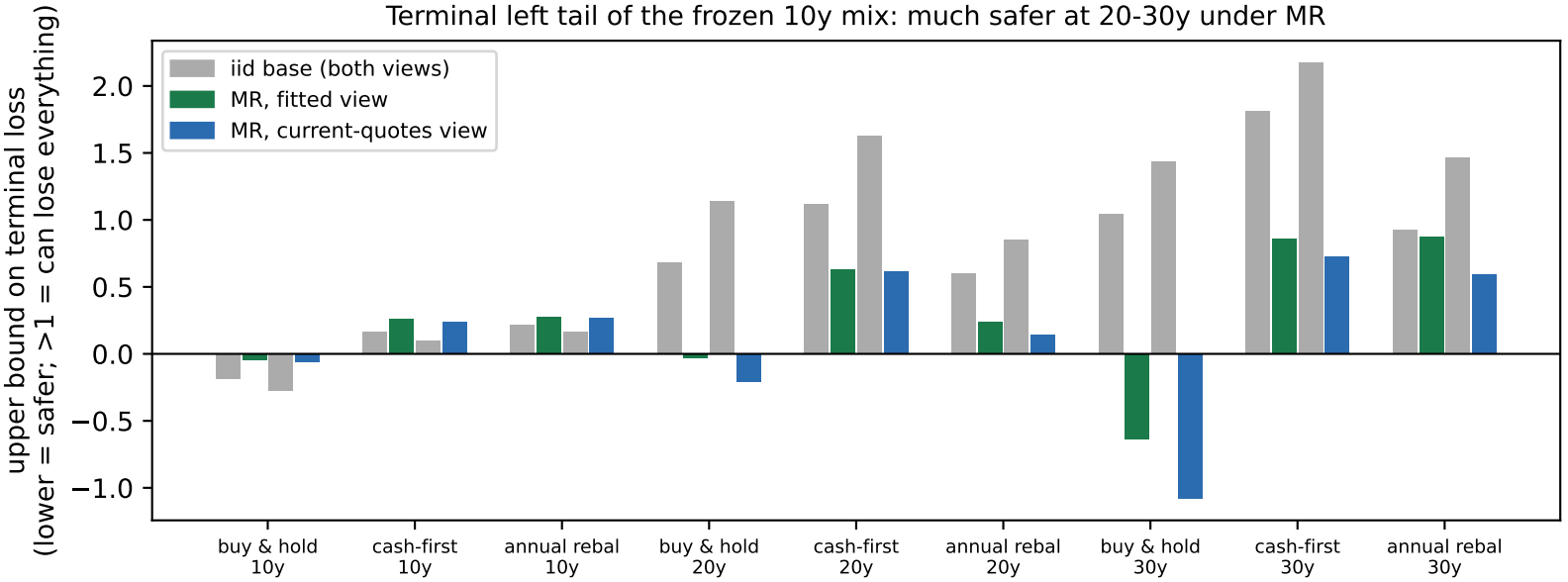
Mean-reversion scenario: what changes if "a down cycle never lasts 30 years" is true







Research-only scenario: shared transitory AR(1) equity cycle (Poterba-Summers style), parameters treated as KNOWN - the best case for mean reversion. Weekly moments identical to the iid base by construction. Caveat: Pastor-Stambaugh (2012) - with estimation uncertainty, long-horizon predictive variance is HIGHER than iid. Japan 1989-2024 shows the claim can fail.